Chapter Name

Indian Economy on the eve of Independence

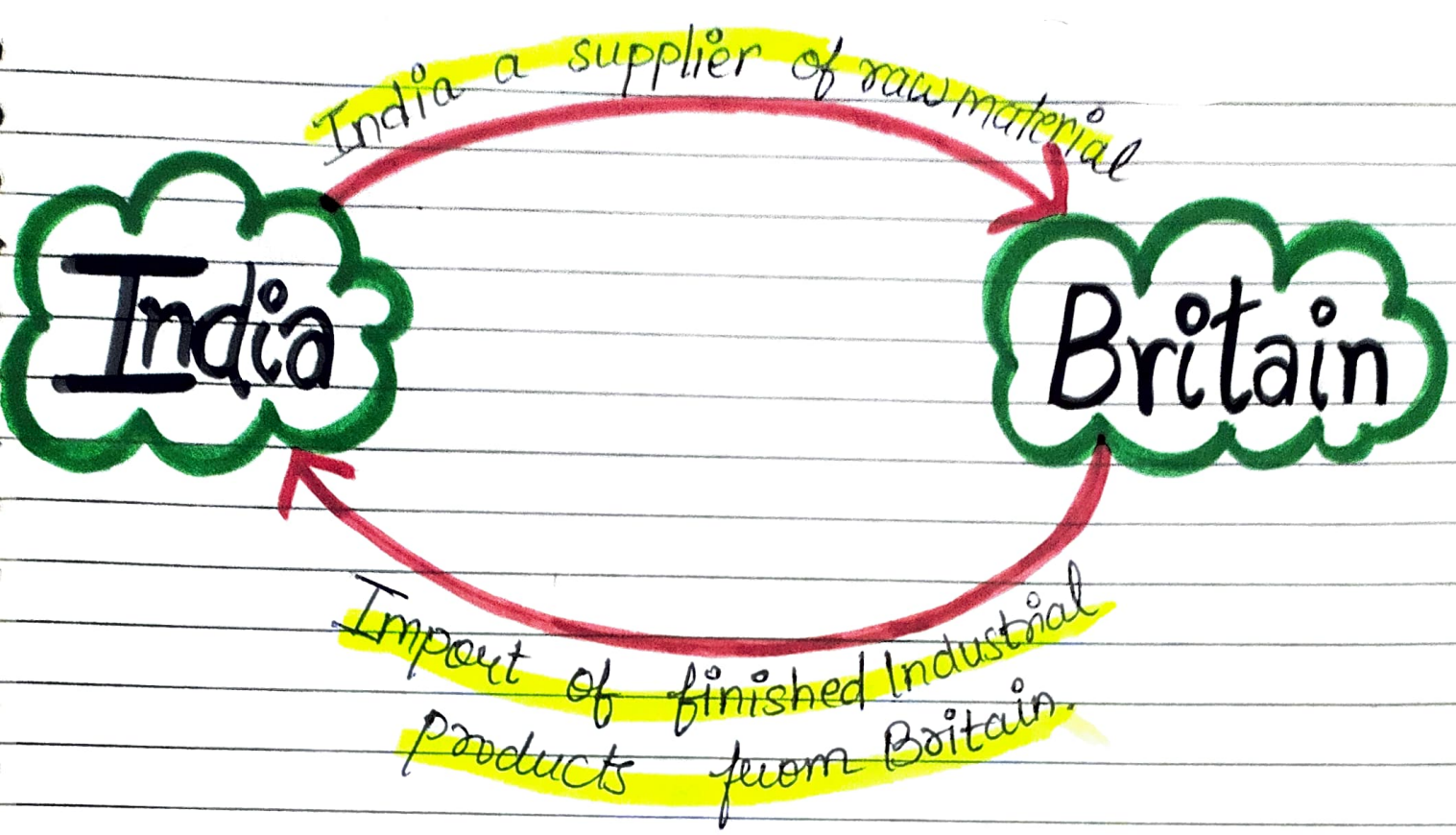
→ Before the advent of British rule India was :-

1. Independent economy
2. Agriculture was main source of livelihood.
3. Famous for handicrafts (in the field of cotton, silk, metal, precious stones etc.)

→ Sole purpose of British Colonial rule in India :-

Development of modern industries in Britain by making India a supplier of raw materials which was to be used in the production of final goods in Great Britain.

The economic policies made by Britishers were more related to the protection and promotion of economic interest of their home country than the development of India. This made India a supplier of raw material and consumer of finished Industrial products from Britain.



→ State of agriculture sector on the eve of Independence:-

1. Main Source of living
2. Low productivity / Stagnant
3. Dependency on monsoon.

→ Causes of Stagnation and Low productivity in agriculture sector :

I. **Land Settlement** :-

Under British rule, zamindar / Landlord exploited cultivators in many ways.
First, they charged high rent / Lagaan without knowing the monetary conditions of farmers.

Second, they grabbed ownership rights of land from the farmers as a punishment for delay in rent payment.

Third, they did zero efforts towards making improvements on land.

II. Terms of Revenue Settlement :-

There were tough terms of collecting revenue from farmers like dates of depositing revenue were fixed and if they fail to pay on time then their land was to be grabbed by zamindars.

III. Lack of proper inputs :-

Low level of technology, lack of irrigation facility and negligible use of fertilisers, added to aggravate the plight of the farmers and contributed to the dismal level of agricultural productivity.

IV. Commercialisation of agriculture :-

It refers to the production of cash crops instead of food crops. Indian farmers were forced to grow commercial crops (like indigo, cotton, jute etc). instead of food crops (like rice and wheat). This commercialisation of agriculture

not only increased the burden of high revenues on the poor farmers but also led India to face shortage of food grains, resources, technology and investment. Therefore, Indian agriculture remained backward and primitive.

Industrial Sector

Britishers were the reason of de-industrialisation by not taking any steps to promote modern industry and reduced India to only the exporter of raw material and importer of finished goods.

Textile Industry in Bengal

Muslin is a type of cotton textile which had its origin in Bengal, particularly, places in and around Dhaka (now the capital city of Bangladesh). Daccai Muslin had gained world-wide fame as an exquisite type of cotton textile. The finest variety of muslin was called malmal. Foreign travellers also used to refer to it as malmal shahi or malmal khas meaning that it was worn by or fit for, the royalty.

Under second half of 19th century, modern industry showed slow growth.
This development was confined to the setting up of cotton and jute textile mills.
Subsequently, the iron and steel Industries began coming up in the beginning of the 20th century.
In this context, the Tata Iron and steel company (TISCO) was incorporated in August, 1907 in India. It established its first plant in Jamshedpur (Bihar, at present Jharkhand).
But, these Industries were the result of hard work by the private sector. The government role in the process of modern Industrialisation was very limited.

The State of the Industrial Sector at the eve of Independence:

1. **Destruction of Handicraft Industry**

The Britishers adopted the following policies to systematically destroy the handicraft Industry.

(i) **Discriminatory Tariff Policy of the British government:-**

Heavy tariff on the export of Indian handicrafts was imposed and tariff free export of raw material to Britain was allowed. So, Indian handicrafts started loosing their markets.

(ii) **Competetion from Machine-made Products**

Machine made products from Britain were cheap and better in quality than the handicrafts products. This also led Indian handicrafts to close their business.

(iii) **Introduction of Railways in India**

The Britishers introduced Railways in India, to expand the market of its low priced Industrial products.
so, the demand of expensive handicrafts products started to fall, thus leading to the downfall of handicrafts Industry.

2. **Slow Growth of Modern Industry**

Reasons :-

(i) **Limited Growth of Public Sector Enterprises.**

Only few public sector enterprises such as railways, power, post and telegraph were developed by the britishers to increase the market size for British products in India.

(ii) **Lopsided Industrial Structure**

The Industrial growth was lopsided, in the sense that consumer goods Industry was not adequately supported by the capital goods Industry.

(iii) Lack of Basic and Heavy Industries.

No priority was given for the development of basic and heavy Industries.
TISCO was the only heavy Industry in India.

Occupational Structure

It refers to the distribution of workforce among different economic sectors such as primary, secondary and tertiary sector.

State of Occupational Structure on the eve of Independence:

1. Agriculture was the main source of occupation and about 72.7 percent of working population was engaged in agriculture.
2. Only 10.1 percent of the working populations were engaged in the manufacturing sector, which showed the backwardness of Indian Industry.
3. Only 17.2 percent of the working populations were engaged in the service sector, which also proved the slow growth of tertiary sector.
4. There was an unbalanced growth of Indian economy at the time of Independence. It indicates regional variations. There was a rise in agricultural workforce in Punjab, Rajasthan and Orissa but a fall in that of in Bombay and Madras presidency.

Demographic Conditions

It includes a detailed estimation of population size, along with a complete demographic profile of the country like death rate, birth rate etc.

India's Ist official census operation was undertaken in the year 1881. After that the census has been conducted after every 10 years.

Great Divide 1921

Phase I

1921 was the year of great divide in the history of population growth in India because the growth rate of population was generally low before 1921.

Phase II

After 1921, there was considerable and continuous increase in the population that is called phase two of demographic Transition.

Demographic Conditions on the eve of Independence

1. There was high birth (48) and high death rate (40) indicating very low survival rate, which was nearly 8 per thousand per annum.

2. Life expectancy was as low as 44 yeares showing the lack of health care facilities.

3. Literacy rate was low as 16 percent, which reflects the social and economic backwardness of the country. Female literacy rate was very low only at 7 percent.

4. The Infant mortality rate was 218 per thousand.

5. Rampant poverty was also lowering the demographic profile of Indian.

Foreign Trade

Opening of Suez Canal (shorter route of water way between Britain and India) in 1869 gave easy access of Indian market to Britishers and also reduced their cost of transportation.

State of Foreign Trade at eve of Independence:

i) **Volume of Foreign Trade**

under the colonial rule, India became an exporter of primary products such as raw silk, cotton, wool, sugar, indigo, jute etc. and an importer of finished consumer goods like cotton, silk and woollen clothes and capital goods like light machinery produced in the factories of Britain.

ii) **Direction of Foreign Trade**

Britain maintained a monopoly control over India's exports and imports. Due to this, more than 50 percent of India's foreign Trade was restricted to Britain and the rest was allowed with a few other countries like, China, Ceylon (Sri lanka) and Iran.

(iii) **Drain of India's Wealth.**
Export surplus and profit earned from foreign Trade was not used in any developmental activity of India. Rather, it was used to maintain the British administration and as well as on ware expenses. All of this, led to the drain of Indian wealth.

Infrastructure

There were some positive contributions of the British government in the field of infrastructure. However, the contributions were not intentional but purely to satisfy the economic interest of their own country.

State of Infrastructure can be considered some positive side-effects of the British rule in India

A. Provided transport facilities, specially railway was introduced in 1850

B. Development of ports.

C. Postal and telegraph services were introduced.

D. British government gave a strong and efficient administrative set up.

E. Evolution of banking and monetary system.

Few Questions and Answers

Question - 1

When was India's first official census operation undertaken?

Answer -

India's first official census operation was undertaken in the year 1881.
After that census has been conducted after every 10 years.
It includes a detailed estimation of population size, along with a complete demographic profile of the country like death rate, birth rate etc.

Question - 2

Why was the year 1921 called as the year of great divide in the history of population growth in India?

Answer -

Because, The growth rate of population was generally low before 1921, but after this year, there has been considerable increase in the population.

Question - 3

Name some notable economists who estimated India's per capita income during the colonial period.

Answer -

The following are some of the notable economists who are engaged in estimation of national income and per capita income:

(i) DadaBhai Naroji
(ii) William Digby
(iii) Findlay Shirras
(iv) V.K.R.V Rao
(v) R.C. Desai

Out of these, V.K.R.V Rao's estimates are considerable. Most of these studies revealed that Indian economy grew at even less than 2% per annum during 1900-50 with 0.5% growth in per capita output per annum.

Question - 4

Underscore some of India's most Coucial economic challenges at the time of independence.

Answer -

1. Low level of agricultural productivity
2. Lack of adequate industrialisation
3. Poverty and inequality
4. Poor demographic profile
5. Lack of proper infrastructure facilities
6. Low per capita income.

Question - 5

State the features of Indian economy on the eve of Independence.

Answer -

1. Backward and stagnant economy as level of economic growth was very low. It is indicated by lower level of GDP and lower level of national income.

2. Dependent economy as India was relying on imports of food grains from other countries.

3. Depleted economy as natural resources of India were exploited to the maximum level.

4. Disintegrated economy as partition of India resulted shortage of certain food grains, shortage of cotton, and jute because major related areas went to Pakistan.

Question - 6

What was the main cause of food shortage in India after partition?

Answer -

Because after partition the food surplus areas of west Punjab and Sindh went to Pakistan.